

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET D — ASSERTION & REASONING SPECIAL****CHAPTER 08: BUILDING BLOCKS IN ECONOMICS: THE PROBLEM OF CHOICE****TIME ALLOWED: 45 MINUTES****MAXIMUM MARKS: 25 MARKS****SERIES: CBS-IX-SST-SET-D-08****Student's Name:** _____**Roll No.:** _____**Class & Section:** Class IX - _____**Date of Exam:** _____**Invigilator's Sign:** _____**General Instructions (SET D - Assertion & Reasoning Special):**

1. The question paper comprises **25 Assertion-Reasoning Questions** of **1 mark each**.
2. Each question consists of two statements — **Assertion (A)** and **Reason (R)**.
3. Select the correct option from the following 4 standardized choices:
 - **(A)** Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
 - **(B)** Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 - **(C)** Assertion (A) is true but Reason (R) is false.
 - **(D)** Assertion (A) is false but Reason (R) is true.
4. **Section A (Q1 – Q10):** Core Concepts & Theoretical Principles.
5. **Section B (Q11 – Q18):** Evidentiary Proofs, Case Inferences & Historical/Geographical Mechanisms.
6. **Section C (Q19 – Q25):** Advanced Conceptual Nuances & Institutional/Analytical Complexities.
7. All questions are compulsory. There is no negative marking.
8. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

STANDARD DIRECTIONS FOR ALL 25 ASSERTION & REASONING QUESTIONS:

- (A)** Both (A) and (R) are true and (R) is the correct explanation of (A).
(B) Both (A) and (R) are true but (R) is NOT the correct explanation of (A).
(C) Assertion (A) is true but Reason (R) is false.
(D) Assertion (A) is false but Reason (R) is true.

SECTION A: CORE THEORETICAL PRINCIPLES (Q.1 TO Q.10) [10 MARKS]**Q.1****Assertion (A):** Scarcity is the fundamental economic problem facing all human societies.**Reason (R):** Human wants are virtually unlimited, while the productive economic resources available to satisfy them are finite and limited.

- (A)** Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). **(B)** Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false. **(D)** Assertion (A) is false but Reason (R) is true.

Q.2

Assertion (A): If resources were infinite and abundant, there would be no need for economic study or decision-making.

Reason (R): Economics is the study of how society allocates scarce resources with alternative uses to produce and distribute goods and services.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.3

Assertion (A): The concept of Opportunity Cost refers to the total monetary cash expenditure incurred in buying a commodity.

Reason (R): Opportunity cost is defined as the value of the next best alternative sacrifice or foregone opportunity when a choice is made.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.4

Assertion (A): The central economic problem of 'What to produce' involves choosing between capital goods and consumer goods.

Reason (R): An economy cannot produce maximum quantities of both consumer goods and capital goods simultaneously due to resource constraints.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.5

Assertion (A): The economic question of 'How to produce' deals with the choice of production technique.

Reason (R): Producers must choose between labour-intensive techniques and capital-intensive techniques based on relative resource availability and cost.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.6

Assertion (A): The question of 'For whom to produce' is concerned with the distribution of the national product among members of society.

Reason (R): How the national output is shared depends directly on the functional distribution of factor income (wages, rent, interest, and profit).

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.7

Assertion (A): Land as a factor of production includes only agricultural farm soil.

Reason (R): In economics, land encompasses all natural gifts provided by nature free of human effort, including minerals, rivers, forests, and climate.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.8

Assertion (A): Labour as a factor of production is completely separable from the human labourer.

Reason (R): Labour power represents human physical and mental exertion and cannot be bought or stored independently of the worker who embodies it.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.9

Assertion (A): Tools, machinery, and factory buildings are classified as Working Capital.

Reason (R): Working capital consists of raw materials and liquid cash in hand used up in a single production cycle, while machinery is Fixed Capital.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.10

Assertion (A): Human Capital represents the accumulated knowledge, technical skills, health, and productive capacity of a population.

Reason (R): Investments in education, vocational training, and healthcare transform raw human labor into high-productivity human capital.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

SECTION B: EVIDENTIARY PROOFS & MECHANISMS (Q.11 TO Q.18) [8 MARKS]**Q.11**

Assertion (A): A Production Possibility Curve (PPC) slopes downwards from left to right.

Reason (R): To produce additional units of one commodity, an economy must transfer scarce resources away from and reduce production of another commodity.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.12

Assertion (A): A typical Production Possibility Curve is concave to the origin.

Reason (R): The Marginal Opportunity Cost (Marginal Rate of Transformation) increases as more resources are diverted from one good to another because resources are not equally specialized for all goods.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.13

Assertion (A): Any production point situated inside the Production Possibility Curve represents full and efficient resource utilization.

Reason (R): Points inside the PPC indicate that economic resources are unemployed, underemployed, or utilized inefficiently.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.14

Assertion (A): A point situated outside the existing Production Possibility Curve is currently unattainable for the economy.

Reason (R): The economy does not possess sufficient productive resources or advanced technology to produce combinations beyond its existing production frontier.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.15

Assertion (A): Technological advancements and discovery of new natural resources cause the PPC to shift outward to the right.

Reason (R): An outward shift of the PPC signifies economic growth and an expansion in the economy's maximum production potential.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.16

Assertion (A): Widespread destruction of factory infrastructure by an earthquake causes the PPC to shift outward.

Reason (R): A natural disaster destroys physical capital and productive assets, reducing the economy's productive capacity and shifting the PPC inward to the left.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.17

Assertion (A): The reward or factor payment received by the entrepreneur for bearing risk and organizing production is 'Profit'.

Reason (R): Profit is the residual revenue remaining after all contractual factor costs (wages, rent, and interest) have been settled.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.18

Assertion (A): The Primary sector involves activities that directly extract and utilize natural resources.

Reason (R): Agriculture, forestry, animal husbandry, fishing, and mining are classified under the Primary economic sector.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

SECTION C: ADVANCED NUANCES & INSTITUTIONAL COMPLEXITIES (Q.19 TO Q.25) [7 MARKS]**Q.19**

Assertion (A): As an economy develops over time, the share of the Primary sector in national income and employment typically increases.

Reason (R): Economic development induces structural transformation where manufacturing (Secondary) and services (Tertiary) expand their contribution while agriculture's relative share declines.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.20

Assertion (A): Division of labour and occupational specialization increases overall productive efficiency.

Reason (R): Specialization allows workers to develop mastery in specific repetitive tasks, saves time lost in switching tools, and encourages mechanization.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.21

Assertion (A): The Tertiary sector produces tangible physical goods that can be stored in warehouses.

Reason (R): The Tertiary sector consists of intangible services such as banking, transport, insurance, education, and healthcare that support production and consumption.

- (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A).
 (C) Assertion (A) is true but Reason (R) is false. (D) Assertion (A) is false but Reason (R) is true.

Q.22

Assertion (A): Sunk costs are historical expenditures that have already been incurred and cannot be recovered.

Reason (R): Rational economic decision-makers must consider future marginal costs and marginal benefits while ignoring past unrecoverable sunk costs.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.23

Assertion (A): In economics, 'capital' includes paper currency notes and financial bank deposits directly as physical factors of production.

Reason (R): Physical capital refers to real tangible goods (factories, machines, tools) used to produce other goods, whereas money is a financial medium of exchange.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.24

Assertion (A): An economy operating on its PPC is achieving productive efficiency.

Reason (R): On the boundary of the PPC, it is impossible to produce more of one good without sacrificing some amount of another good.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

Q.25

Assertion (A): Public goods like street lighting and national defence are efficiently provided by unregulated free private markets.

Reason (R): Public goods are non-excludable and non-rivalrous in consumption, leading to the 'free-rider problem' where private firms cannot profitably exclude non-payers.

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| (A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A). | (B) Both Assertion (A) and Reason (R) are true but Reason (R) is NOT the correct explanation of Assertion (A). |
| (C) Assertion (A) is true but Reason (R) is false. | (D) Assertion (A) is false but Reason (R) is true. |

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET D)

01	☐ A ☐ B ☐ C ☐ D	02	☐ A ☐ B ☐ C ☐ D	03	☐ A ☐ B ☐ C ☐ D	04	☐ A ☐ B ☐ C ☐ D	05	☐ A ☐ B ☐ C ☐ D
06	☐ A ☐ B ☐ C ☐ D	07	☐ A ☐ B ☐ C ☐ D	08	☐ A ☐ B ☐ C ☐ D	09	☐ A ☐ B ☐ C ☐ D	10	☐ A ☐ B ☐ C ☐ D
11	☐ A ☐ B ☐ C ☐ D	12	☐ A ☐ B ☐ C ☐ D	13	☐ A ☐ B ☐ C ☐ D	14	☐ A ☐ B ☐ C ☐ D	15	☐ A ☐ B ☐ C ☐ D
16	☐ A ☐ B ☐ C ☐ D	17	☐ A ☐ B ☐ C ☐ D	18	☐ A ☐ B ☐ C ☐ D	19	☐ A ☐ B ☐ C ☐ D	20	☐ A ☐ B ☐ C ☐ D
21	☐ A ☐ B ☐ C ☐ D	22	☐ A ☐ B ☐ C ☐ D	23	☐ A ☐ B ☐ C ☐ D	24	☐ A ☐ B ☐ C ☐ D	25	☐ A ☐ B ☐ C ☐ D

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & HISTORICAL/GEOGRAPHICAL CAUSAL EXPLANATIONS (SET D)

Q. No.	Correct	Causal Rationale & Conceptual Explanation
Q.1	(A)	Assertion is true. Reason is true and states the foundational postulate of economic science.
Q.2	(A)	Assertion is true. Reason is true and explains why scarcity necessitates economizing and choice.
Q.3	(D)	Assertion is false: Opportunity cost is the value of the foregone alternative, not accounting cash outlay. Reason is true: It measures trade-offs in terms of forfeited benefits.
Q.4	(A)	Assertion is true. Reason is true and explains the trade-off inherent in product-mix resource allocation.
Q.5	(A)	Assertion is true. Reason is true and outlines the technological optimization problem in production economics.
Q.6	(A)	Assertion is true. Reason is true and links product distribution to the distribution of factor earnings.
Q.7	(D)	Assertion is false: Land includes all primary natural resources, not merely farm soil. Reason is true: The economic definition of land covers all natural endowments.
Q.8	(D)	Assertion is false: Labour cannot be detached from the living worker. Reason is true: Labour exertion is physically inseparable from the human individual.
Q.9	(D)	Assertion is false: Tools and buildings are Fixed Capital, not Working Capital. Reason is true: Fixed capital persists over multiple cycles while working capital is consumed.
Q.10	(A)	Assertion is true. Reason is true and explains the economic mechanics of human capital formation.
Q.11	(A)	Assertion is true. Reason is true and explains why opportunity cost causes the negative downward slope of the PPC.
Q.12	(A)	Assertion is true. Reason is true and provides the law of increasing marginal opportunity cost explaining PPC concavity.
Q.13	(D)	Assertion is false: Points inside represent inefficiency or underemployment. Reason is true: Full efficiency lies strictly on the frontier boundary.
Q.14	(A)	Assertion is true. Reason is true and explains why points beyond the frontier represent output combinations exceeding current capacity.
Q.15	(A)	Assertion is true. Reason is true and defines economic growth graphically through outward frontier expansion.
Q.16	(D)	Assertion is false: Asset destruction shifts PPC inward to the left, not outward. Reason is true: Capital destruction shrinks total production boundaries.
Q.17	(A)	Assertion is true. Reason is true and defines the entrepreneurial return as residual factor income.
Q.18	(A)	Assertion is true. Reason is true and provides standard economic sectoral taxonomy examples.
Q.19	(D)	Assertion is false: Agriculture's relative share declines as nations develop. Reason is true: Economic development shifts output to industry and services.
Q.20	(A)	Assertion is true. Reason is true and explains Adam Smith's classical economic rationale for the division of labour.
Q.21	(D)	Assertion is false: Services are intangible and cannot be physically warehoused. Reason is true: The service sector generates intangible productive activities.
Q.22	(A)	Assertion is true. Reason is true and articulates the fundamental economic decision rule regarding the sunk cost fallacy.

Q. No.	Correct	Causal Rationale & Conceptual Explanation
Q.23	(D)	Assertion is false: Money is financial capital, not a real physical factor of production. Reason is true: Real capital consists of manufactured productive assets.
Q.24	(A)	Assertion is true. Reason is true and defines Pareto productive efficiency on the production frontier.
Q.25	(D)	Assertion is false: Private markets fail to provide public goods adequately. Reason is true: Non-excludability creates free-riding, requiring government provision.